

HW 3 – Winner Take All? (Expedia) | Disintermediation**A) Expedia Platform: Defining the Core User Groups:**

Expedia Group is a multi-sided platform intermediary between user groups but also between users --> sellers. The interactions of these parties generates value, revenue, and demand for themselves and the Expedia platform. Expedia's commercial success depends on both sides getting 'on board' and pricing access strategically for all sides.

The two primary sides are:

Travelers (demand side): Individual and corporate consumers.

Travel Suppliers (supply side): Hotels, airlines, rentals, activities, etc. (Approx 3M+ properties)¹

Traveler growth has been robust post-pandemic: Expedia Group reported 94 million room nights booked in Q4 2025 alone, a 9% year-over-year increase¹. On the supply side, the platform exceeded 3 million properties by 2024 and the average nightly rate has increase 4% YoY to \$207.

A third side not often thought of are advertisers. These are secondary to the core two-sided structure but still profit off of strong platform driven network-effects.

B) Direct and Indirect Network Effects

Network effects arise when a platform's value to a user increases as the number of other users grows (Shapiro & Varian). For Expedia, both direct and indirect effects are present but operate differently than most competitor travel sites and review sites.

Direct network effects (traveler-to-traveler): These are relatively weak as revenue drivers, but manifest through user-generated content (UGC). Expedia benefits greatly from UGC through both the influx of travelers to positive and negative reviews, as well as the collection of data to help understand their 3 million+ properties worldwide. As more travelers review hotels and flights on Expedia, the information quality and trustworthiness of listings rises, increasing the platform's value for subsequent travelers.

¹ "Q4 2025 Earnings Presentation." *Expedia Investor Report*, Feb. 2026, s202.q4cdn.com/757635260/files/doc_financials/2025/q4/EXPE-Q4-2025-Earnings-Presentation-FINAL.pdf.

However, travelers are not interdependent in real time meaning one consumer's booking decision does not directly affect another traveler's experience on the platform (currently).

Indirect network effects (cross-side): These are Expedia's dominant value mechanisms. More travelers attract more suppliers. Suppliers are constantly seeking popular and reliable distribution methods and Expedia acts as a medium of exchange where buyers and sellers meet. This invites more travelers and thus becomes a marketplace loop. Expedia's large traveler base gives suppliers global reach and distribution which reduces cost. For travelers: greater variety gives richer search results, improving match quality and trip-planning. Expedia's recent technology investments in AI and specifically their loyalty rewards program 'One Key' are designed to accelerate this self-sustaining loop within their platform².

C) Strengthen Direct Network Effects (Loyalty Program)

Launched in 2023, One Key is a unified loyalty program across all of Expedia Group brands including Expedia, Hotels.com, and Vrbo. They unified the platform and reward existing and repeat consumers with a single currency called 'OneKeyCash'. By pooling the user bases of all three brands (collectively over 45 million loyalty members)³ Expedia created a cross-platform community effect: points earned on one product are redeemable across the entire list of brands. This incentivizes travelers to continue their bookings within the Expedia ecosystem rather than multi-home across rivals.

This directly strengthens traveler-to-traveler network effects by increasing review density per property (members are more likely to submit verified reviews as they are already authenticated). Within six months of launch, Expedia reported a 20% increase in repeat bookings among One Key members compared to non-members³. The program also reduced customer acquisition costs by shifting volume from paid search to organic, loyalty-driven traffic.

D) Strengthening Indirect Network Effects (Traveler Reviews)

Expedia strengthens indirect network effects primarily through its system of authenticated traveler reviews. Because reviews are tied to verified bookings, the platform ensures a high level of credibility and trustworthiness in its user-generated content. This validation differentiates

² "Expedia Group Announces 'One Key,' a Groundbreaking New Loyalty Program." *Expedia Newsroom*, 17 July 2023, www.expedia.com/newsroom/expedia-group-announces-one-key-a-groundbreaking-new-loyalty-program-that-rewards-every-traveler/.

³ Curry, David. "Expedia Revenue and Usage Statistics (2026) - Business of Apps." *Business of Apps*, 7 Jan. 2026, www.businessofapps.com/data/expedia-statistics/.

Expedia from platforms where reviews may be less reliable, increasing the informational value of each contribution.

Indirect network effects arise as more travelers submit reviews, improving the quality and quantity of information available for each property. Higher review density enhances decision-making for future users, making the platform more valuable for its discovery of properties. Better-informed travelers are more likely to complete bookings and thus generate additional reviews. Their implementation of One Key only accelerated the adoption to this model.

This feedback loop strengthens the connection between users without requiring direct interaction. Each additional review increases platform transparency and builds trust, which are high priority for consumer travelers. By focusing on authenticated reviews, Expedia amplifies the reliability of its marketplace, making it increasingly attractive to both travelers and accommodation providers.

(e) Expedia, Winner-Take-All Market?

A winner-take-all (WTA) market is one in which network effects, switching costs, and economies of scale allow a single player to capture a dominant share of the market. In this market environment it is difficult for competitors to exist let alone enter or exit (Shapiro & Varian 1999).

Rubric	Y/N	Notes
Strong network effects?	Partial	Indirect (supplier-traveler) effects are strong; direct (traveler-traveler) effects are weak. Reviews help but do not create switching costs.
Multi-homing	No	Low cost to multi-home for travelers. Many alternatives (Booking.com, Google Flights free to use simultaneously). Moderate cost for travel suppliers.
Homogeneous product?	No	Travel inventory and real estate is almost impossible to not be a commodity. Reduces differentiation
Differentiated services	No	Niche segments exist and succeed like luxury travel, business travel, mom-and-pop, etc. These platforms are commanded by rivals (Airbnb, Chase Experiences).

Economies of scale in supply?	Yes	Data and technology scale has clear advantages. Larger volume → better negotiated rates. Data powers AI personalization.
Regulatory / structural barriers?	Partial	No dominant regulatory moat; GDPR and antitrust scrutiny constrain data leverage in key markets.

The global online travel agency market does not show symptoms of a WTA market. In 2023, Booking Holdings held approximately 43% of global OTA revenue, Expedia Group ~26%, Airbnb ~14%.⁴

This appears to be oligopolistic rather than winner-take-all structure. Both Booking.com and Expedia have survived decades of competition and continue to grow simultaneously. This pattern is inconsistent with WTA.

Multi-homing cannot exist with lock-in. A 2023 Expedia Group study found that 80% of online travel bookers visit at least one OTA in the 45 days before completing a purchase⁵. This multi-homing pattern prevents Expedia from becoming the single monopolized OTA in this market.

Niche demand keeps this market segmented with key players such as Airbnb. According to Skift Research, Airbnb grew its share of global short-term rental revenue from 28% in 2019 to 44% by 2024. Expedia's Vrbo brand simultaneously lost ground in this sector⁶. So, it is still possible for new entrants to exist within a niche, even while Expedia dominated. Similarly, Amex and Chase Travel control significant corporate travel share. These niche incursions are inconsistent with a WTA structure where the dominant platform captures all user segments.

Expedia and the broader OTA market is not a strict WTA market. Expedia benefits from indirect network effects and scale economies that create competitive advantages. Low multi-homing costs, commodity inventory, and niche segmentation prevent any single player from achieving WTA dominance. Expedia's strategy is seen with One Key and UGC and is increasingly becoming about increasing switching costs and loyalty.

⁴ Walker, Ben. "Online Travel Agencies Market Share across the World." *Mize*, 26 Dec. 2025, mize.tech/blog/online-travel-agencies-market-share-across-the-world/.

⁵ Biesiada, Jamie. "Expedia Group: Online Bookers Frequently Use Otas for Research: Travel Weekly." *Travel Weekly*, 26 July 2023, www.travelweekly.com/Travel-News/Travel-Technology/Expedia-group-online-bookers-use-OTAs.

⁶ Schaal, Dennis. "Short-Term Rentals: Airbnb's Dominance and Booking's Gains in 1 Chart." *Skift*, 30 Apr. 2025, skift.com/2025/03/14/short-term-rentals-airbnbs-dominance-and-bookings-gains-in-1-chart/.

Disintermediation

A) Homejoy was a platform that matched homeowners/renters with cleaners and service providers. When launched in 2010, it faced an issue with the users of the platform that ultimately contributed to its 2015 shutdown. Disintermediation occurs when users meet through a platform but then complete current or future transactions outside of it to avoid fees.

One of the main reasons disintermediation was a problem for Homejoy is because home cleaning services offer repeat usage and stability to both sides. Once a customer finds an acceptable cleaner and a rate favorable for both parties, there is a strong incentive (and low exit barrier) which supports continued working between buyer and seller. In the Harvard Business School reading, this type of transaction creates a high risk of disintermediation for future transactions. Instead of booking through Homejoy again, both the customer and cleaner can arrange cleanings directly and avoid paying platform fees and thus avoiding Homejoy entirely.

This issue is exacerbated because of quality differences between providers. Customers may prefer a higher quality cleaner over others. Once a good match is found, there is little reason for the customer to go back to the platform. The reading explains that when suppliers offer differing (improved) quality, users are more likely to form relationships outside the Homejoy platform. A customer who finds a reliable cleaner on Homejoy will take the result and not a new match every time.

This same phenomenon can be seen in handyman and babysitting services. These providers and customers originate on platforms like AngieList and Fiverr. But another important factor of familiarity and customer preferences creates additional value in maintaining relationships. Both sides benefit from cutting out the platform. As a result, Homejoy may only earn revenue from the first transaction, while losing all future transactions, which are usually where most value was earned.

Disintermediation can also happen in the *current transaction*. Homejoy required some level of communication between customer and cleaner, which created opportunities to exchange contact information and move off-platform without completing a single transaction. Think Craigslist. When users see the platform mainly as a matchmaking tool and not as adding much additional value, they are more likely to bypass it.

B)

Thumbtack is a platform that operates in a similar space. They can limit disintermediation by using up-front fees. This strategy is one way to avoid losing revenue from repeat transactions.

Thumbtack charges professional service providers for leads or initial contact with customers. Rather than taking a percentage of each transaction, and this also may make users more inclined to continue with an appointment/transaction. Therefore, the platform captures value at the beginning of the interaction, instead of relying on future bookings and possible swift disintermediation. Even if a customer and provider form a relationship afterward, Thumbtack has earned its revenue.

This approach works well in markets like home services, where repeat interactions are hard to control. Instead of trying to prevent disintermediation completely, Thumbtack accepts it and designs pricing models around it. This reduces the platform's exposure to losing future transaction fees.

Another advantage of this strategy is that it aligns better with user behavior. Since customers and providers naturally want to continue working together, forcing them to stay on-platform can be difficult and costly. By charging upfront, Thumbtack avoids the need for strict enforcement.

Thumbtack solves the Homejoy problem by changing when it gets paid.